Emkay Tools Limited NSE: ETL

Concall-Tracker Report (web deep-dive) | 05 July 2026 | Threading taps & precision cutting-tool manufacturer, Nagpur

1. Snapshot

What the business does: Emkay Tools makes **threading taps** (the hardened steel tools that cut screw-threads inside a drilled hole) and other **high-speed-steel (HSS) cutting tools** used in factories. Its customers are automobile, auto-parts, engineering, and aerospace/defence manufacturers who need these consumable tools to machine metal parts. It earns money by selling these tools in India and, in a small way, exporting them. It is one of the largest HSS-tap makers in India, running ~275,000 taps a month across four plants in Nagpur.

Important: This is **Emkay Tools Ltd (ETL)** — the **demerged manufacturing arm**. It was carved out of its parent **Emkay Taps & Cutting Tools Ltd (EMKAYTOOLS)** and separately listed on the NSE SME Emerge platform on 8 July 2025. It is a different company from the parent, and also unrelated to "Emkay Global Financial Services" (a stockbroker with a similar name).

Measure	Figure	Plain-English read
Market value (market cap)	~₹1,100 cr	What the whole company is worth on the market — a small-cap. (₹1,115 cr on Screener, 3 Jul 2026)
Share price	~₹1,045	Price of one share as of early July 2026.
Price-to-earnings (P/E)	~19x	You pay about ₹19 for every ₹1 of yearly profit — a moderate valuation for a fast-growing, debt-free maker.
Revenue FY26 (year to Mar-2026)	₹144 cr	Total sales for the year — up ~24% on FY25's ₹117 cr.
Net profit FY26	₹58.7 cr	What was left after all costs and tax — up ~32% on FY25's ₹44 cr.
Operating margin (OPM) FY26	~56%	For every ₹100 of sales, ~₹56 is operating profit before interest/tax/depreciation — an unusually high, healthy margin.
Return on capital (ROCE)	~71%	Profit earned on the money invested in the business — exceptionally high; the business is very capital-light.
Debt	Nil (net cash)	No borrowings — the company funds itself from its own profits.
Promoter holding	74.99%	The founding Kanoria family owns three-quarters of the company; interests are aligned but public float is thin.

2. Concall coverage

Emkay Tools Ltd is a recently demerged, small NSE-listed manufacturer; no earnings-call transcripts were available — this report is based on a global web deep-dive. No concall transcripts were available on Screener. Because the company only began trading on 8 July 2025 and has published just one annual report (FY25) plus its FY26 results, the multi-year consistency read is inherently **limited**.

Sources used (all cited):

- Emkay Tools Ltd FY25 Annual Report (primary source — Director's Report + Management Discussion & Analysis), NSE archives: archives.nseindia.com/annual_reports/SME_AR_27600_ETL_2024_2025_A_9307086_23082025150113.pdf
- Screener.in company page — screener.in/company/ETL/ (FY25/FY26 financials, ratios, shareholding)
- NSE half-yearly financial statement (30 Sep 2025) — nsearchives.nseindia.com/corporate/EMKAY_TOOLS_...FS_HALF_YEARLY_30092025_ETL.pdf
- Company website — emkaytoolsltd.com/about-the-facility/ (products, capacity, plants)
- stockanalysis.com/quote/nse/ETL/statistics/ ; trendlyne.com equity/3167548/ETL ; MarketScreener (spin-off completion); CRISIL rating note on parent
- Demerger/scheme filings by parent Emkay Taps & Cutting Tools (NCLT order 28 Oct 2024; effective 19 Nov 2024)

2b. Latest update highlights — FY26 results (board meeting 29 May 2026)

- **Sales up ~24%:** full-year revenue ₹144 cr vs ₹117 cr in FY25 — the business is growing double-digits in its first full year as a listed, standalone company.
- **Profit up ~32%:** net profit ₹58.7 cr vs ₹44 cr — profit is rising faster than sales, meaning margins improved.
- **Margins widened to ~56%** (from ~53%) — pointing to a richer mix of higher-priced, "special-geometry" taps, exactly what management said it was chasing.

- **Second-half strength:** the half-year to Mar-2026 did ₹82 cr sales / ₹34 cr profit — the strongest half yet, i.e. momentum is accelerating, not fading.
- **Still debt-free with net cash** and 75% promoter-held; a maiden dividend of ₹2.50/share was paid for FY25. **Tone:** confident and expansion-minded, but communication is limited to filings — there is no earnings call.

2c. Business mix & capacity

Domestic vs export split: Predominantly domestic. Management states exports to the USA are only "**~4–5% of turnover**" (FY25 MD&A); a full domestic-vs-export percentage is **not separately broken out**. *Read: almost all sales are within India; overseas is still a small sliver the company is trying to grow (targeting the USA and Turkey).*

Capacity: ~275,000 threading taps per month across **four plants in Nagpur**; management says it has "**sufficient capacity**" and adds new CNC thread- and flute-grinding machines. *Read: there is spare capacity to grow into. A specific utilization % is **not disclosed** — do not assume a number.*

Product mix: straight-flute, spiral-point, spiral-flute (15°/35°), fluteless, cast-iron, pipe and nut taps — moving toward custom "special-geometry" taps that fetch better prices.

3. Earning Trigger thesis

The headline driver. The public record points to a genuine, still-live earnings trigger: **a mix-and-margin upgrade plus capacity to grow.** Management is deliberately shifting from commodity taps to **higher-priced "special-geometry" and application-specific taps**, is **pushing exports** (USA, Turkey) and using the **China+1 / import-substitution** tailwind (US buyers seeking non-Chinese suppliers amid US–China trade tension), and is **adding new products and CNC capacity** — all against demand from autos, engineering and a privatising defence sector. FY26 already shows this working: sales +24%, profit +32%, margins up to ~56%. The main caveat is that exports are still tiny (~4–5% to the US) and the auto sector is cyclical.

Trigger	What management said	Evidence so far	Time horizon	Strength
Richer product mix (special-geometry / custom taps)	"Now more focused on customers looking for taps with special geometrics, where the prices are good"; adding new products (FY25 MD&A)	Margins rose 53%→56%; profit grew faster than sales in FY26	Playing out now	**Strong** — visible in the margin and profit numbers
Export growth (USA, Turkey) + China+1	"Looking out for export orders from USA, Turkey"; leveraging US buyers seeking alternatives to Chinese suppliers	Exhibited at IMTEX 2025; but US is still only ~4–5% of turnover, and India's loss of GSP tariff benefit hurts US pricing	Medium term (1–3 yrs)	**Moderate** — clear intent, early, small base, tariff headwind
Spare capacity + demand from auto / engineering / defence	"Sufficient capacity"; growth tied to autos, EV push and defence privatisation	Running 4 plants, ~275k taps/ month; 24% revenue growth achieved without new-plant spend	Ongoing	**Moderate** — room to grow, but demand is cyclical with autos
Import substitution ("Make in India")	Largest HSS-tap maker in India; positioned to replace imported tooling	Structural tailwind cited across industry; not separately quantified by the company	Long term	**Moderate/Unproven** — plausible, not yet numbered

4. Management Consistency scorecard

Only ~1.5 years of public record exist (FY25 annual report → FY26 results). This scorecard compares what FY25 said with what FY26 delivered.

Period	What was promised / said	What actually happened	Verdict
FY25 (first report, listed Jul-2025)	Focus on higher-priced special-geometry taps; add products; improve finished-goods stock; chase exports; use "sufficient capacity"	FY26 delivered ₹144 cr sales (+24%) and ₹58.7 cr profit (+32%) with margins up to 56% — consistent with the stated mix-upgrade plan	**Delivered**
FY25 → FY26 (margins)	Implied margin improvement from richer mix	OPM rose 53% → 56%; return on net worth ~53%	**Delivered**
FY25 (exports)	Pursue US/Turkey export orders; diversify geographies		**Too-early / Partly**

		Exhibited at IMTEX 2025; but exports still ~4–5% of turnover and GSP loss dented US pricing — no evidence yet of a step-change	
Capital discipline	Debt-free, self-funded, pay dividend	Stayed net-cash; paid maiden ₹2.50/share dividend for FY25	**Delivered**

Narrative drift: There is essentially **no drift** — but there is also barely any history to drift over. In the one full public cycle available, management said "richer mix + grow into spare capacity + push exports," and the FY26 numbers matched the profitable-growth part of that story. The honest disclosure of the US tariff/GSP headwind (rather than hiding it) is a mild positive on candour. The clear limitation: no earnings calls, thin float, heavy related-party dealings with promoter-group companies (e.g. job work to Nagpur Tools Pvt Ltd, sales to the parent), and only one year of standalone results to judge — so consistency cannot yet be called proven over a cycle.

5. Bottom line — two verdicts

Durable earning trigger? → YES (with caveats)

There is a **concrete, live driver**: a shift to higher-margin special-geometry taps plus spare capacity to grow output, and it is **already showing in the numbers** (FY26 sales +24%, profit +32%, margins 53%→56%, ROCE ~71%, no debt). That is a real, demonstrable trigger, not a promise. The caveats that stop this being an unqualified "yes forever": exports are still tiny (~4–5% to the US) so that leg is unproven, and demand is tied to the cyclical auto sector. But on the evidence available today the core trigger is durable and playing out — hence **YES**.

Management consistent? → MAYBE

What little record exists is **clean and delivered**: FY25's stated plan (richer mix, grow into capacity, stay debt-free, pay dividend) matched FY26's results, and management disclosed the tariff headwind honestly. But this is **MAYBE, not YES, purely because the history is too short** — one full year of standalone, listed results, no earnings calls, a thin public float, and significant related-party transactions with promoter-group entities. There is nothing negative here; there simply isn't yet enough of a track record across a full cycle to award a confident YES. Revisit after two to three more years of results.

Report built from a global web deep-dive (no earnings-call transcripts exist for this recently demerged company). Primary source: Emkay Tools Ltd FY25 Annual Report; financials cross-checked against Screener.in and NSE filings. Figures as of early July 2026.